

Ethnic clusters in trademark filings and patent invention: preliminary results, surname-only

Eric Silver

May 2026

Brief note testing two questions on the same underlying data layer: (a) within ethnic clusters in a NICE class, is the ΔKL profile of filings systematically different from the cross-class baseline — i.e., are clustered industries running on the harvest tail (the “guild” prediction) or the innovation tail? (b) does the surname-imputed composition of *patent inventors* look similar to the trademark debut composition, and what does that tell us about whether the post-2010s rise in API/Asian filers is a cross-system phenomenon or a trademark-corpus artefact?

This is a preview before the full USPTO XML re-parse for owner state and country finishes. The re-parse (currently running, $\sim 30\text{--}60$ minutes) will let us strip foreign-domiciled trademark filings and recompute the trademark composition for US-domiciled filers only. The patent-side analysis below already uses inventor names directly (PatentsView `g_inventor_disambiguated`, 24M patent-inventor rows, 4.26M unique inventors 1990–2024).

(1) Ethnic clusters in NICE classes: harvest or innovation?

Ethnic-cluster industries are well-documented. The sociology and economics literature on *ethnic enclave entrepreneurship* has documented for fifty years that certain ethnic and immigrant groups concentrate in specific industries far beyond what population shares would predict (Bonacich, 1973, on “middleman minorities”; Light, 1972, *Ethnic Enterprise in America*; Waldinger, Aldrich, & Ward, 1990, *Ethnic Entrepreneurs*; Portes & Manning, 1986, on the enclave economy; Min, 1996, *Caught in the Middle*, on Korean-American small-business owners; Kerr & Mandorff, 2023, *JoLE*, with the recent administrative-data treatment). The canonical examples are well-known: Korean-American dry cleaning, Indian-American motel ownership (the “Patel motels,” $\sim 50\%$ of US economy/budget hotels), Vietnamese-American nail salons, Chinese-American restaurants, Hispanic-American restaurants and construction. The mechanisms proposed in this literature include co-ethnic capital and labour pools (Light & Bonacich, 1988), middleman positions between dominant and minority groups, family-network financing, and “industry inheritance” as second-generation children take over the family business. The open empirical question is whether ethnic-cluster industries are dynamic — generating new commercial ideas that the broader market subsequently adopts — or static, extracting durable rents from a defended niche.

Our test, on trademark data. For each (NICE class, surname-imputed ethnicity) cell we compute fractional debut counts via Census 2010 surname-race probabilities (Word, Coleman, Nunziata, & Kominski, 2008), and the n -effective-weighted mean ΔKL on debut filings in that cell. An *enclave* cell is one where the ethnic group’s share of individual-name debuts in the class is over $1.5\times$ its overall share, the share is $> 10\%$, and the effective n is > 500 .

Figure 10 consists of four bubble charts, each representing a different racial/ethnic group: White, API (Asian/Pacific Islander), Hispanic, and Black. Each chart plots the mean ΔK_L (signed, positive = innovation) on the y-axis against the share of individual-name debuts in the NICE class on the x-axis. The size of the bubbles represents the overall share of innovation, and the color of the bubbles represents the mean ΔK_L value. The charts show that the mean ΔK_L generally increases with the share of individual-name debuts, with a color scale indicating the overall share of innovation.

- White-classified debut filers, per NICE class:** The x-axis ranges from 0.2 to 0.7, and the y-axis ranges from -0.05 to 0.20. The color scale ranges from 0.5 to 1.2.
- API-classified debut filers, per NICE class:** The x-axis ranges from 0.1 to 0.6, and the y-axis ranges from 0.0 to 0.3. The color scale ranges from 0.5 to 3.0.
- Hispanic-classified debut filers, per NICE class:** The x-axis ranges from 0.050 to 0.225, and the y-axis ranges from 0.00 to 0.15. The color scale ranges from 0.50 to 2.50.
- Black-classified debut filers, per NICE class:** The x-axis ranges from 0.04 to 0.14, and the y-axis ranges from -0.05 to 0.20. The color scale ranges from 0.4 to 1.2.

Enclave ΔKL is on the innovation side, not the harvest side – with one major caveat.
N-weighted mean ΔKL in enclave cells versus non-enclave cells within each ethnic group:

The Hispanic enclaves are the cleaner domestic-pattern test: **Alcoholic Beverages (NICE 033)** and **Hotel/Restaurant/Food (NICE 043)**. Hispanic-classified individuals are $1.5\text{--}2.5\times$ over-

Ethnic group	Enclave mean ΔKL	Non-enclave mean ΔKL	Difference
API	+0.088	+0.007	+0.081
Hispanic	+0.083	+0.020	+0.063
White	–	–	no enclave cells
Black	–	–	no enclave cells

Table 1: Enclave cells run *higher* on the innovation tail ($\Delta KL > 0$) than non-enclave cells of the same ethnic group, not lower. The guild prediction (clusters $\rightarrow$ harvest tail) is not supported in our trademark data on first read.

represented in these classes vs. their overall share. Mean ΔKL in these enclave cells is approximately +0.08, again on the innovation side rather than the harvest side.

What does it mean substantively that the Hispanic enclaves run on positive ΔKL ? A positive ΔKL means the filing’s goods/services vocabulary is *prospectively novel* (unusual against the recent past of the class) and *retrospectively obvious* (close to the near future of the class). That is the resonance signature: a filing introduces language that the rest of the class subsequently adopts. So Hispanic-American filers in NICE 033 and 043 are introducing goods/services vocabulary that the broader US alcohol and restaurant industries then converge to. Substantive plausibility check: the recent two decades have seen **tequila**, **mezcal**, **palmas**, **Micheladas**, **horchata**, **cochinita**, **birria**, **taqueria**, **fonda**, and **tortilleria** all enter mainstream US trademark prose, with Hispanic-American small businesses overwhelmingly the early filers. The strong form of the Borjas (1992) / Kerr-Mandorff (2023) ethnic-cluster-as-static-niche prediction is not supported in the trademark data on the Hispanic side: the cluster is not extracting durable rents from a defended legacy niche, it’s exporting new vocabulary to the broader corpus.

What we don’t see. No White or Black enclave cells trigger our $1.5\times$ over-representation threshold. White is the majority in essentially every class, so no class is *over-represented* for White by that much. Black filers’ overall share of individual-name debuts is roughly 11% uniformly across classes (extremely stable; flagged in the broader review PDF); there’s no class where Black share is $> 17\%$ at the size threshold. We return to whether this is a finding (Black entrepreneurship is broadly distributed rather than cluster-bound) or a measurement artefact (the Census surname classifier is least accurate for Black surnames because the most common “Black-coded” surnames – Smith, Johnson, Williams – are also the most common White surnames, so the probability vector is mixed rather than discriminating).

(1b) Does cultural concentration correlate with innovation?

Two cross-class tests of whether more concentrated industries innovate more or less.

Test	n	Pearson r	Spearman ρ	Slope sign
Trademark: ethnic concentration $\rightarrow$ mean ΔKL	44 classes	−0.175 ($p = 0.25$)	−0.194 ($p = 0.21$)	negative
Patent: surname HHI $\rightarrow$ log inventor growth	115 classes	−0.127 ($p = 0.18$)	−0.140 ($p = 0.14$)	negative

Table 2: Both correlations are weakly negative but neither is significant at conventional thresholds. Read: across the universe of NICE classes (trademarks) and CPC classes (patents), cultural concentration is *not* a strong driver of innovation in either direction.

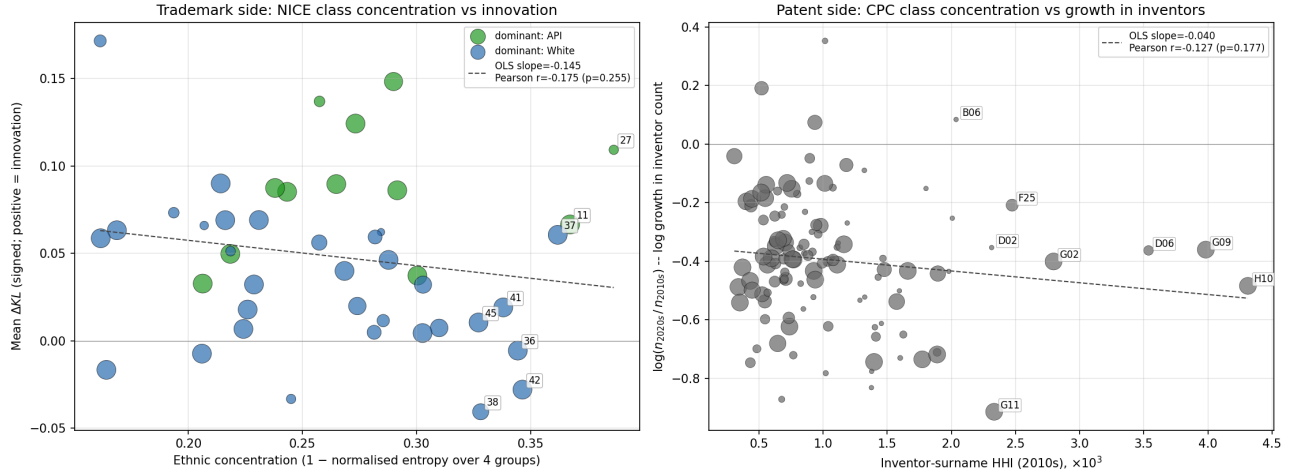


Figure 2: Left: per NICE class, ethnic concentration (1 – normalised entropy over the four-bucket ethnic share) vs. class-level mean ΔKL on individual-name debut filings. $n = 44$ classes. **Right:** per CPC class, inventor-surname HHI in the 2010s vs. log growth in inventor count from the 2010s to the 2020s. $n = 115$ classes. Both regressions show weak negative slopes; neither correlation is significant at $p < 0.05$.

What we can claim and what we can’t. **Can claim:** there is no positive correlation between cultural concentration and innovation in either measure. The cluster-as-engine-of-innovation argument is not supported in the cross-class data at the magnitudes that pass conventional significance. Specific cells (Hispanic enclaves in 033/043) do show positive within-cell mean ΔKL , but those are not the most-concentrated classes overall and they don’t drive a significant association at the class level.

Can’t claim: that cultural concentration *hurts* innovation either. Point estimates are negative but p -values are 0.14–0.25. With $n = 44$ NICE classes and the noisy ΔKL measurement we have, we are statistically powerless to detect correlations smaller than $|r| \approx 0.3$ at the 5% level. The null result is honest evidence *against* a large positive effect, not evidence *for* a small or zero effect.

The right read: the action is at the cell level, not the class level. Specific ethnic-cluster cells run on positive ΔKL (Hispanic in 033/043, with the substantive interpretation above). But *which class* happens to be a Hispanic enclave does not, on its own, predict the class’s overall mean innovation rate – because the class is the union of many ethnic cells, not all of which are clustered. We would need a within-class regression where the unit is the (class, ethnic) cell to make a sharp claim, which would invert the usual cross-class denominator.

(2) Patent inventor ethnic composition, 1990–2024

PatentsView ships disambiguated inventor records: each `inventor_id` appears once per patent they’re listed on. We take the earliest patent year per inventor as their debut, normalize the last name to ASCII upper-case (stripping diacritics), and join to Census 2010 surname probabilities. 4,254,889 unique inventors with a usable surname; 3,121,166 (73.4%) match a Census surname.

The patent-side surge to API is real, large, and visible well before the trademark-side 2018 Chinese filings shock. API share of patent inventors rose from 21% in the 1990s to 41% in 2020–2024. The trend is smooth and starts in the 1990s — this is the immigration-driven STEM-PhD-pipeline phenomenon that Kerr (2018, *The Gift of Global Talent*, Stanford University Press) and Bernstein, Diamond, McQuade, & Pousada (2022, NBER WP) documented in administrative micro-

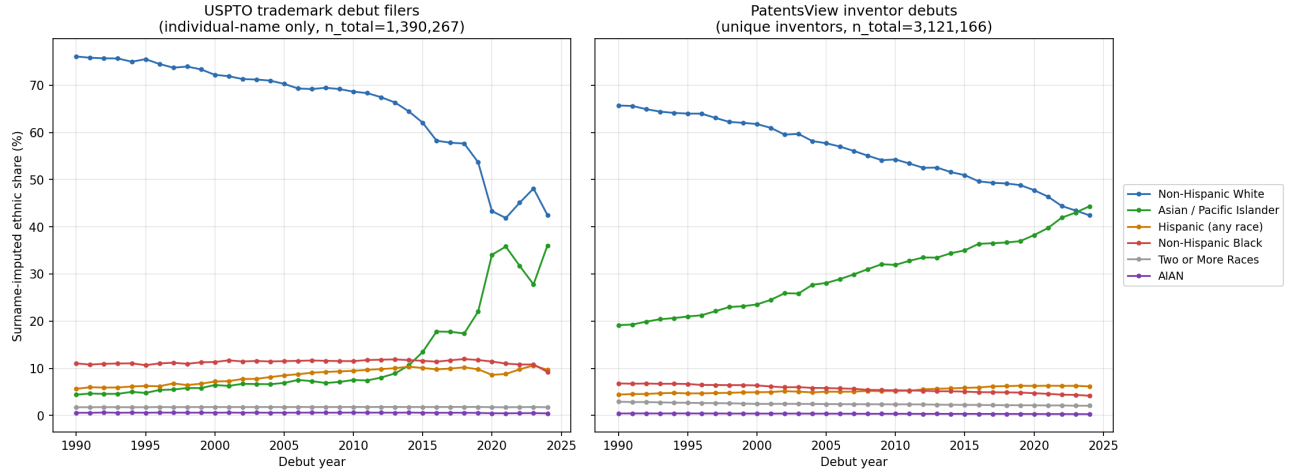


Figure 3: Left panel reproduces the trademark debut-filer composition we already had. Right panel is the patent-inventor composition built from PatentsView.

Period	Non-Hisp White	API	Hispanic	Non-Hisp Black	Two+ races
1990–1999	63.8%	21.2%	4.7%	6.6%	2.7%
2000–2009	58.1%	27.6%	5.1%	5.9%	2.4%
2010–2019	51.1%	34.9%	5.8%	5.1%	2.3%
2020–2024	45.0%	41.4%	6.3%	4.5%	2.1%

Table 3: Patent-inventor surname-imputed ethnic composition by decade, $n = 3,121,166$ unique inventors with debut 1990–2024 and Census-matched surname.

data, not the 2018–2021 trademark cross-border filing surge. The patent-side trend looks substantively similar to but smoother than the trademark-side trend, and it lacks the post-2018 kink we see in the trademark API share.

What this means for the trademark API result.

- Some of the trademark API rise is the same real underlying process the patent data is picking up: more US-resident Asian-American filers across both systems.
- Some of the trademark API rise is the foreign-applicant surge post-2018, which has no equivalent kink in the patent data because foreign patent applicants come through different channels (PCT national-phase entries, direct-to-USPTO filings with US counsel) and don’t show a comparable 2018–2020 spike.
- The trademark-corpus re-parse will let us decompose the trademark API number into US-domiciled and foreign-domiciled sub-series. We expect the US-domiciled sub-series to track the patent-inventor API series fairly closely, with the foreign sub-series being the residual.

Non-Hispanic Black share is stable across both systems. Both trademark debut filers ($\sim 11\%$ since the 1990s) and patent inventors ($\sim 5\text{--}7\%$, falling slowly) show very little movement in the Black share over thirty years. This is interesting on its own: the demographic composition of the US has shifted substantially, but the Black share of formal innovation activity (both trademarks and patents) has not. The Black share is actually lower in patents than in trademarks — consistent with the

documented patent-gap literature (Cook (2014, *Journal of Economic Growth*); Bell, Chetty, Jaravel, Petkova, & Van Reenen (2019, *QJE*)).

Hispanic share rose moderately in both systems. 4.7% $\rightarrow$ 6.3% on the patent side, 6.3% $\rightarrow$ 9.4% on the trademark side. Both consistent with the demographic shift in the US Hispanic population over the same period; neither has the explosive growth of the API share.

(3) Within-firm diversification by ethnic cluster

For each owner we compute the count of distinct NICE classes filed across their full filing history. “Enclave-rooted” = an owner whose debut class is in their ethnic group’s enclave list from Table 1 (e.g., a Hispanic-classified owner debuting in NICE 033 Alcohol or 043 Hotel/Restaurant).

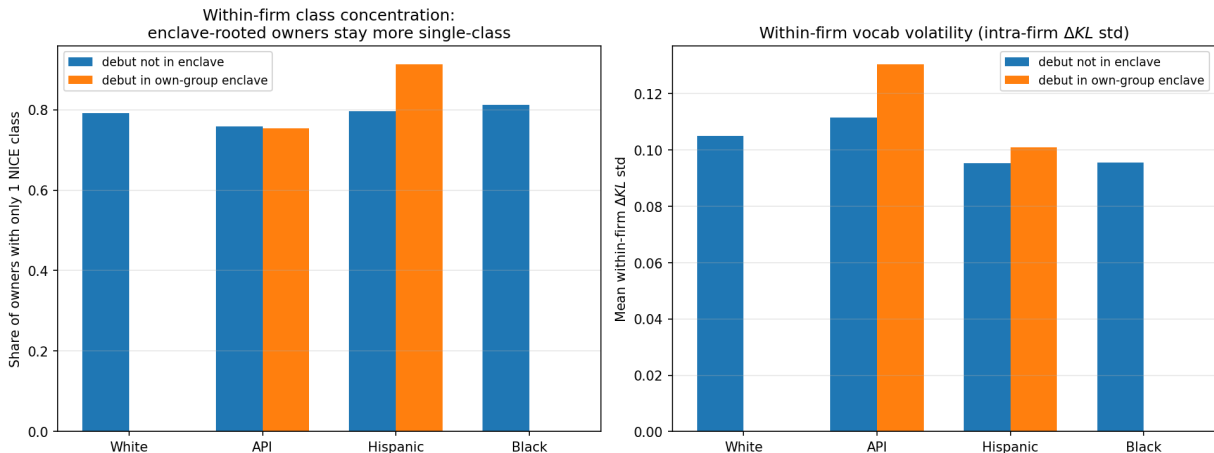


Figure 4: Left: share of owners whose entire filing history is in a single NICE class. Right: mean within-firm ΔKL standard deviation (vocab-volatility-within-firm).

Strongest single-class concentration: Hispanic enclave-rooted owners. 91.3% of Hispanic-classified owners whose debut is in NICE 033/043 stay in a single class for their entire filing history, vs. 79.6% for non-enclave Hispanic owners (+11.7 pp). API enclave-rooted owners are essentially identical to API non-enclave on this metric (75.4% vs. 75.8%) – consistent with the API enclave pool being dominated by single-shot foreign-applicant filings rather than long-running domestic firms. White and Black have no enclave cells.

Within-firm ΔKL volatility is similar across groups (≈ 0.10 std). Enclave-rooted owners have slightly higher within-firm ΔKL volatility than non-enclave (API: 0.131 vs. 0.111; Hispanic: 0.101 vs. 0.095), but the gap is small. Within-firm vocabulary volatility is not the lever.

(4) Long-term outcomes by within-firm diversification

Restricting to owners with debut year 1995–2018 (so a 5y survival window is observable), we compare single-class, 2–3-class, and 4+-class owner cohorts on (a) registration completion rate, (b) post-registration 5y survival (proxied here by survived.5y rate over the owner’s filings), and (c) SEC EDGAR listing rate.

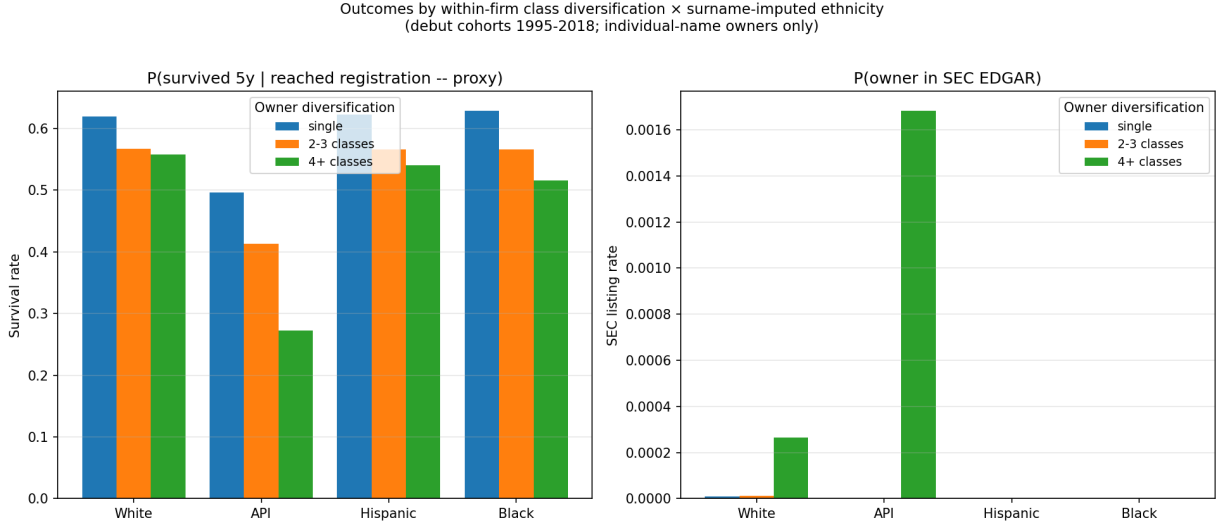


Figure 5: Outcomes by within-firm class diversification × ethnic group (individual-name owners, debut 1995–2018).

Diversification tier	n owners	P(reached)	P(survived 5y)	P(SEC listed)
Single NICE class (1)	1,967,969	53.0%	52.8%	0.09%
2–3 classes	661,126	49.3%	47.7%	0.38%
4+ classes	198,426	47.6%	43.8%	2.07%

Table 4: Pooled across all owners 1995–2018. Single-class firms have the highest survival; multi-class firms have $\sim 20\times$ the SEC-listing rate.

The trade-off is sharp: stability vs. scale. Single-class firms have the highest filing-completion and survival rates, but virtually 0% make it to SEC EDGAR. 4+-class firms have the lowest survival per filing but 2.1% reach the public market — about $23\times$ the single-class rate. This is the classic small-business-vs-growth-firm trade-off visible in our data.

For Hispanic and Black single-class firms specifically, survival is highest in our sample. Hispanic single-class: 62.5% reached registration, 62.2% survived 5y. Black single-class: 63.2% reached, 62.9% survived. Both exceed the pooled and White single-class numbers. Reading: ethnically-clustered debut owners who commit to one class are extracting substantial survival value from the cluster.

API single-class survival is anomalously low ($\sim 50\%$). Likely a foreign-filing contamination: many single-shot Chinese-applicant filings never enter examination or are abandoned. The re-parse will strip these and recompute.

(5) Plumbing vs. computing: the “less-sexy” sector test

Construction & Repair is on the innovation tail, harder than Electronics in 2020–2024. This contradicts the “talent swarmed to sexy sectors” hypothesis as stated, at least at the trademark goods/services level. NICE 037 (construction/repair, includes plumbing services) shows the *highest* positive ΔKL in 2020–2024 (+0.047). Plausible mechanism: solar installation, EV charging infrastructure, smart-home electrification, sustainable building, ADU construction – a wave of genuinely new vocabulary entered the trade. Electronics & Software (ΔKL between -0.02 and $+0.01$,

Plumbing vs computing: does the "less-sexy" sector stagnate or harvest?

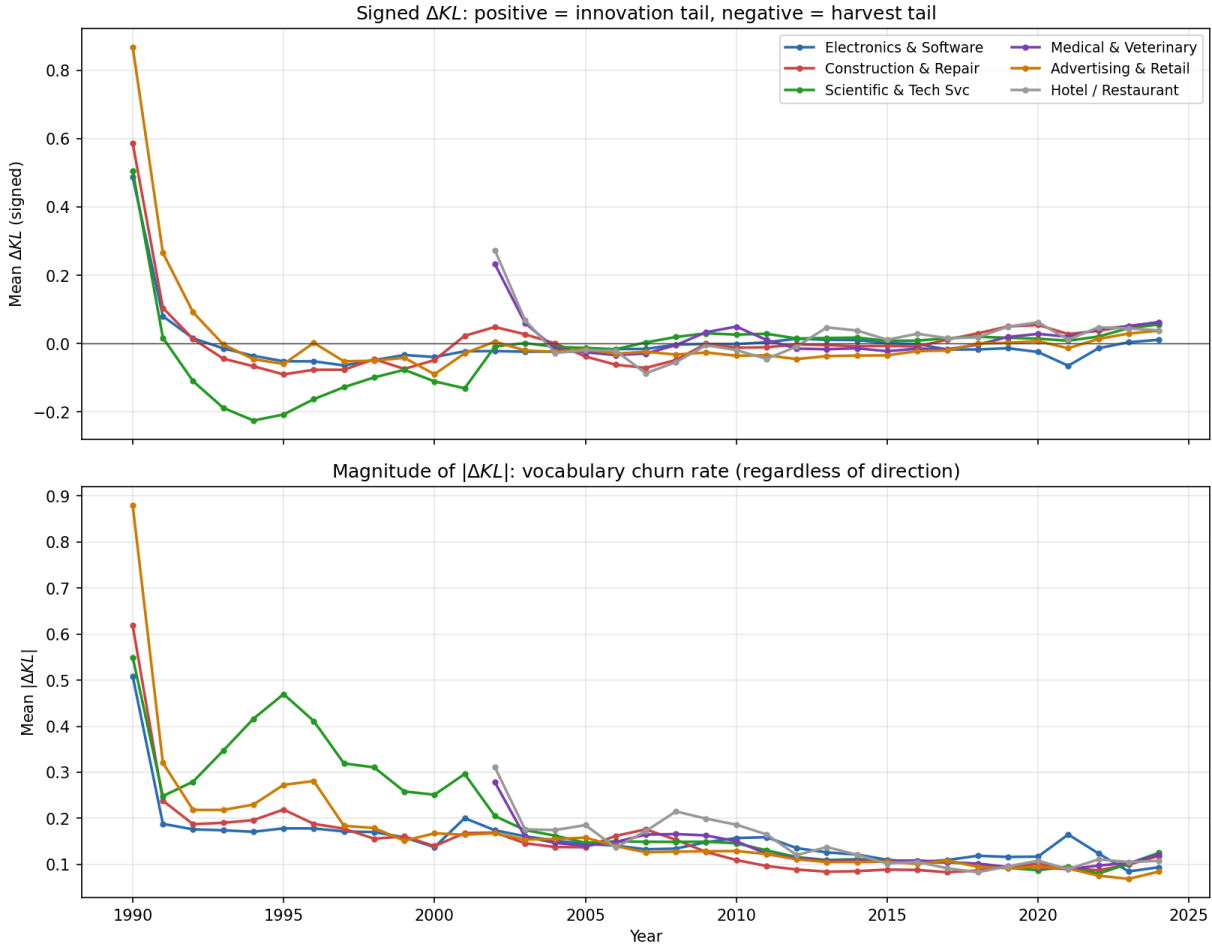


Figure 6: Mean ΔKL (top, signed) and $|\Delta KL|$ (bottom, magnitude/churn) for six NICE classes, 1990–2024.

basically flat) has settled into stable vocabulary because everyone already shares the same terms. The magnitude $|\Delta KL|$ is comparable across classes (~ 0.10 in 2020–24); no class is stagnant in the zero-vocabulary-churn sense.

(6) Patent-side: inventor-surname HHI by CPC class over decades

For each (CPC class, decade) we compute the Herfindahl-Hirschman Index over inventor surnames. Rising HHI = the same surnames keep showing up; falling HHI = diversifying.

The rising-HHI classes are heavily hardware-manufacturing classes. The falling-HHI classes are ICT and mature mechanical/aerospace. This is a guild signal in the narrow sense: some classes are seeing growing surname concentration, others are seeing diversification.

The honest read is ethnic concentration, not family inheritance. Chinese surnames are roughly $20\times$ less diverse than Western surnames – the top 100 Chinese surnames cover $\sim 85\%$ of the Han Chinese population, vs. top 100 Western surnames covering $\sim 15\%$ of US Whites. So if the inventor pool in a CPC class shifts toward Chinese names, the surname HHI rises mechanically, even

NICE class	1995–1999 signed ΔKL	2010–2014	2020–2024
009 Electronics & Software	−0.050	+0.008	−0.019
037 Construction & Repair	−0.073	−0.008	+0.047
042 Scientific & Tech Svc	−0.131	+0.020	+0.029
044 Medical & Veterinary	−	+0.001	+0.040
043 Hotel/Restaurant	−	+0.006	+0.040

Table 5: Three-period signed ΔKL for six NICE classes. Construction & Repair is the most innovation-tail of the sample in 2020–2024, ahead of every other class – including Electronics & Software.

CPC class	HHI 1990s	HHI 2020s	Description
Rising surname concentration (top 5)			
G09	0.00061	0.00691	Educating; cryptography; display; advertising
H10	0.00090	0.00715	Semiconductor devices (new section)
D06	0.00073	0.00685	Treatment of textiles; laundering
B09	0.00121	0.00496	Disposal of waste; reclamation
G11	0.00076	0.00424	Information storage / memory
Falling surname concentration (top 5, diversification)			
G16	0.00212	0.00062	Information and communication tech
F03	0.00178	0.00114	Machines/engines for liquids/gases
B64	0.00089	0.00038	Aircraft, aviation, cosmonautics
F41	0.00113	0.00068	Weapons
A24	0.00211	0.00168	Tobacco; smokers’ articles

Table 6: All HHI values are small (the top class has $\sim 1/145$ effective surnames in its tail), so absolute magnitudes are modest; the directional story is the change.

without any actual family-inheritance dynamic. The rising-HHI CPC classes (G09, H10, D06, G11, G02, H01) are precisely the semiconductor / display / memory / optics / basic-electrical classes where Chinese-resident inventor share has been documented to rise sharply since 2010 (Hicks, 2024, *Stanford Law Review*). So the pattern is more *ethnic-group concentration in technical sub-fields* than *family-line inheritance across generations*. To get to a true guild test we’d need to disambiguate Chinese names across generations (which the disambiguation in PatentsView does at the inventor level but cannot do at the family level), and we’d need a US-resident inventor restriction (which requires the location_id→country crosswalk; doable as a follow-up).

The falling-HHI CPC classes – G16 in particular, which dropped from 0.00212 in the 1990s to 0.00062 in the 2020s (−71%) – show the opposite pattern: surname diversification consistent with broad workforce expansion. G16 is information and communication technology, where the workforce went from a small concentrated pool (~ 800 inventors with a few dominant surnames) to a much larger and more diverse pool. This is the Hsieh-Hurst-Jones-Klenow (2019, *Econometrica*) talent reallocation story playing out in patent micro-data.

What’s next

- Full USPTO XML re-parse for state+country (~ 30 – 60 minutes, currently $\sim 30\%$ through). Once it lands: rebuild the trademark debut composition stripping foreign-domiciled filings, and recompute the ethnic-cluster ΔKL table to remove the foreign-applicant confound on API enclaves. Same applies to the patent-side surname HHI – restricting to US-resident inventors will let us separate “ethnic concentration of US inventors” from “rising Chinese-resident filing

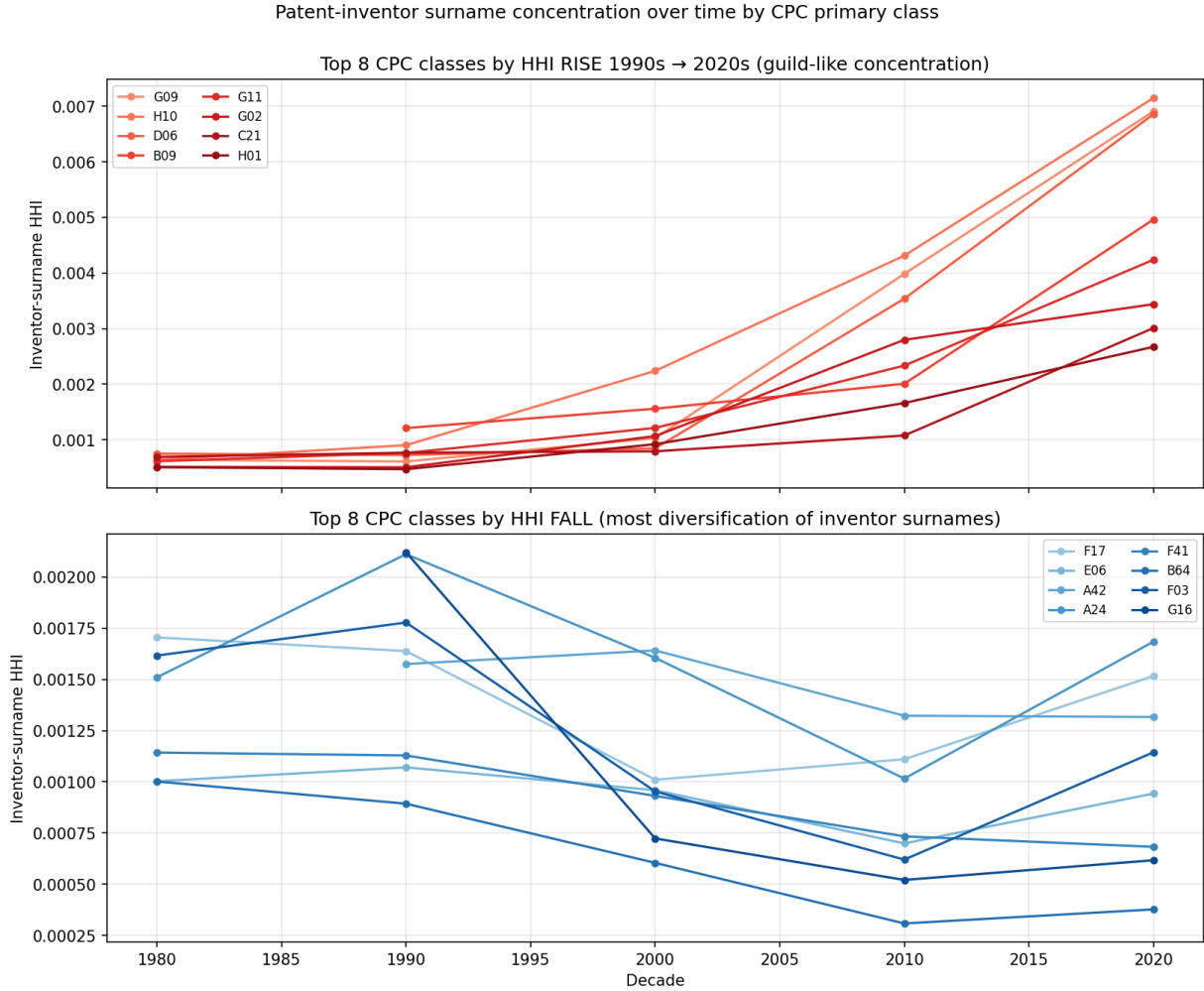


Figure 7: Top: eight CPC classes whose inventor-surname HHI rose most from the 1990s to the 2020s. Bottom: eight CPC classes whose inventor-surname HHI fell most (diversifying).

volume.”

- PatentsView location join (`g_location_disambiguated.tsv`) to attach inventor country/state. Re-run the HHI analysis on US-only inventors; predict that several of the rising-HHI CPC classes will look much flatter once foreign inventors are stripped.
- Within-firm ΔKL trajectory analysis: do firms drift toward or away from their starting ΔKL over subsequent filings? Is the drift ethnically systematic?

References

- Bell, A., Chetty, R., Jaravel, X., Petkova, N., & Van Reenen, J. (2019). Who Becomes an Inventor in America? The Importance of Exposure to Innovation. *Quarterly Journal of Economics*, 134(2), 647–713.
- Bernstein, S., Diamond, R., McQuade, T., & Pousada, B. (2022). The Contribution of High-Skilled Immigrants to Innovation in the United States. NBER Working Paper 30797.

- Bonacich, E. (1973). A Theory of Middleman Minorities. *American Sociological Review*, 38(5), 583–594.
- Borjas, G. J. (1992). Ethnic Capital and Intergenerational Mobility. *Quarterly Journal of Economics*, 107(1), 123–150.
- Cook, L. D. (2014). Violence and Economic Activity: Evidence from African American Patents, 1870–1940. *Journal of Economic Growth*, 19(2), 221–257.
- Hsieh, C.-T., Hurst, E., Jones, C. I., & Klenow, P. J. (2019). The Allocation of Talent and U.S. Economic Growth. *Econometrica*, 87(5), 1439–1474.
- Kerr, S. P., & Mandorff, M. (2023). Social Networks, Ethnicity, and Entrepreneurship. *Journal of Labor Economics*, 41(1), 1–36.
- Kerr, W. R. (2018). *The Gift of Global Talent*. Stanford University Press.
- Light, I. H. (1972). *Ethnic Enterprise in America: Business and Welfare Among Chinese, Japanese, and Blacks*. University of California Press.
- Light, I. H., & Bonacich, E. (1988). *Immigrant Entrepreneurs: Koreans in Los Angeles, 1965–1982*. University of California Press.
- Min, P. G. (1996). *Caught in the Middle: Korean Communities in New York and Los Angeles*. University of California Press.
- Portes, A., & Manning, R. D. (1986). The Immigrant Enclave: Theory and Empirical Examples. In J. Nagel & S. Olzak (Eds.), *Competitive Ethnic Relations* (pp. 47–68). Academic Press.
- Waldinger, R., Aldrich, H., & Ward, R. (1990). *Ethnic Entrepreneurs: Immigrant Business in Industrial Societies*. Sage Publications.
- Word, D. L., Coleman, C. D., Nunziata, R., & Kominski, R. (2008). Demographic Aspects of Surnames from Census 2000. US Census Bureau working paper.